22. Earnings per Share

(A) Basic earnings per share

Basic earnings per share for the three and six months ended June 30, 2017 and 2016 are calculated as follows:

(1) Common stock

(In millions of Korean won and thousands of shares, except per share data)	June 30, 2017		June 30, 2016	
	3 Months	6 Months	3 Months	6 Months
Profit attributable to owners of the Parent company	₩ 10,799,942	₩ 18,288,474	₩ 5,826,178	₩ 11,089,684
Profit available for common stock	9,478,704	16,050,504	5,102,304	9,711,826
Weighted-average number of common shares outstanding	121,494	121,951	124,739	125,693
Basic earnings per share (in Korean won)	₩ 78,018	₩ 131,615	₩ 40,904	₩ 77,266

(2) Preferred stock

(In millions of Korean won and thousands of shares, except per share data)	June 30, 2017		June 30, 2016	
	3 Months	6 Months	3 Months	6 Months
Profit attributable to owners of the Parent company	₩ 10,799,942	₩ 18,288,474	₩ 5,826,178	₩ 11,089,684
Profit available for preferred stock	1,321,238	2,237,970	723,874	1,377,858
Weighted-average number of preferred shares outstanding	16,983	17,097	17,773	18,016
Basic earnings per preferred share (in Korean won)	₩ 77,798	₩ 130,898	₩ 40,728	₩ 76,479

(B) Diluted earnings per share

The Company does not have potential ordinary shares and as a result, basic earnings per share and diluted earnings per share are the same for the three and six months ended June 30, 2017 and 2016.

23. Cash Generated from Operation

Adjustments and changes in assets and liabilities arising from operating activities for the six months ended June 30, 2017 and 2016 are as follows:

- Adjustments

(In millions of Korean won)	2017	2016
Adjustments for:		
Income tax expense	₩ 5,838,636	₩ 4,094,248
Finance income	(1,834,235)	(1,707,389)
Finance costs	1,242,698	1,440,314
Severance and retirement benefits	477,096	590,094
Depreciation	9,615,760	9,951,595
Amortization	771,910	686,242
Bad debt expenses	394,482	364,587
Gain on valuation of equity method	(41,691)	(13,423)
Gain on disposal of property, plant and equipment	(37,358)	(43,462)
Loss on disposal of property, plant and equipment	65,060	45,000
Impairment losses on intangible assets	97	355,365
Obsolescence and scrapping of inventories	769,841	727,437
Gain on disposal of investments	(114,497)	(387,299)
Gain on disposal of assets classified as held-for-sale	-	(69,924)
Dividend income	(73,400)	(181,871)
Other income/expense	(225,181)	(245,438)
Total	₩ 16,849,218	₩ 15,606,076

- Changes in assets and liabilities arising from operating activities

(In millions of Korean won)	2017	2016
Changes in assets and liabilities :		
Increase in trade receivables	₩ (2,378,447)	₩ (605,860)
Decrease in other receivables	112,720	330,764
(Increase) decrease in advances	(183,539)	44,095
Decrease (increase) in prepaid expenses	763,798	(469,240)
(Increase) decrease in inventories	(4,880,235)	278,205
Increase in trade payables	2,033,038	973,643
Decrease in other payables	(1,398,283)	(1,320,082)
Decrease in advances received	(112,978)	(65,749)
Increase in withholdings	110,462	244,035
Decrease in accrued expenses	(3,053,028)	(1,379,940)
Increase in provisions	1,753,676	65,109
Payment of severance benefits	(281,697)	(256,200)
Others	(1,337,604)	867,059
Total	₩ (8,852,117)	₩ (1,294,161)